

Items not usually covered:

- Flooding
- Sewer Backups
- Sinkholes
- Termite Infestation
- Acts of Terrorism
- Nuclear Plant Accidents

I made a very costly mistake in assuming that flooding was covered in our home insurance policy, so imagine my surprise when we experienced our first flood! Now I make it a point to understand exactly what I pay for, and it's a good habit to get into not just for home insurance, but for other types of insurance as well.

If you're having trouble deciphering your insurance policy, call the insurance company and have them walk you through step-by-step. Don't be afraid to ask questions! Most companies are happy to help interpret any foreign terms or insurance jargon, and this process will give you a good idea of how much you're spending each year based on how much protection you actually have.

2. SHOP WITH AN INDEPENDENT AGENT

If there's only one thing you choose to do to save on homeowner's insurance, let it be this—don't exclusively approach or work with one specific brand. I have continually received the best deals by working with an independent insurance agent, someone who isn't loyal to any particular